PDS Ltd

Global apparel sourcing and design company: it designs clothes and arranges their manufacture in Asian factories (plus a few of its own) for retailers like Primark, Walmart, Target and TK Maxx, earning a thin margin on very large volumes.

Concall-tracker report, filed under Q2-2027. Prepared 11 Nov 2026.

1. Snapshot

Number	Value	Plain read
Market cap	Rs 5,885 cr	What the market values the company at
Q2 FY27 revenue	Rs 4,432 cr (consolidated)	Highest quarter ever, up 30% on a year ago
Q2 FY27 EBITDA margin	3.5%	Thin, as sourcing businesses are; up 0.44 points on a year ago
Q2 FY27 profit	Rs 70 cr	Up 44% on a year ago; PAT margin 1.6%
Net cash	Rs 154 cr	Swung from Rs 105 cr net debt in March
ROCE	22% (28% excl. new verticals)	Good return on a light asset base

2. Concall coverage

Eleven calls read from Nov 2023 to Nov 2026, three years, with the Jul 2023 call missing from Screener (outside the core window). Older calls skimmed for guidance; latest read in full.

Quarter	Date	Transcript read?
Q2 FY24	Nov 2023	Yes
Q3 FY24	Feb 2024	Yes
Q4 FY24	Jun 2024	Yes
Q1 FY25	Jul 2024	Yes
Q2 FY25	Oct 2024	Yes
Q3 FY25	Feb 2025	Yes
Q4 FY25	Jun 2025	Yes
Q1 FY26	Aug 2025	Yes
Q2 FY26	Oct 2025	Yes
Q3 FY26	Feb 2026	Yes
Q4 FY26	May 2026	Yes
Q1 FY27	Aug 2026	Yes
Q2 FY27	5 Nov 2026	Yes, read in full

Latest concall highlights: Q2 FY27 (5 Nov 2026)

- Record revenue Rs 4,432 cr, up 30%; Americas up 54% as targeted US accounts move from trial orders to volume.
- Order book Rs 5,670 cr in October, up 13% on a year ago.
- Five-year Sourcing as a Service contract with France's second-largest retailer, managing about US$550 mn a year of buying.
- Losses from new verticals halved (Rs 34 cr in H1 vs Rs 72 cr); DBS Lifestyle sold. Now net cash.

- Aims for EBITDA and PAT margins to rise 50-75 basis points a year, PAT margin near 3% in 2-3 years. Ted Baker still loss-making (Rs 11 cr in H1).

Business mix and capacity

- Almost all revenue is exports to retailers in Europe, the UK and the Americas; India is a small share. Sourcing is about 94% of H1 revenue, own manufacturing about 6%.
- Capacity utilisation not meaningful (mostly asset-light sourcing).

3. Earning trigger thesis

After three years of spending on new verticals and US accounts, those bets are turning into volume: US accounts are ordering in size, a large French retailer has outsourced its sourcing to PDS, and the losses from new businesses are being cut by half. That lifts both growth and its very thin margin.

Trigger	What management said	Evidence so far	Time horizon	Strength
New verticals and US accounts scaling	New verticals fire growth	Americas up 54%; new verticals grew 46% in H1 FY26	FY27-FY28	Strong
French retailer sourcing contract	Five-year, about US$550 mn a year	Moving into execution	FY27-FY31	Moderate: early
Margin climb	+50-75 bp a year; 3% PAT in 2-3 years	EBITDA margin up 44 bp in Q2	FY27-FY29	Moderate

3b. Trigger check

Trigger type	Yes/No	What was said (date)
Debt cut	Yes	Net cash Rs 154 cr; prepaid a Rs 35 cr India loan (Nov 2026)
New business	Yes	Sourcing as a Service contracts with a French retailer and a US customer (Nov 2026)
Margin up	Yes	EBITDA margin up 44 bp YoY; target 50-75 bp a year (Nov 2026)
New management	No	-
New capacity	No	-
Big orders	Yes	Order book Rs 5,670 cr, up 13% (Nov 2026)
Turnaround	No	-
Promoter buying	No	-

Single concrete driver: New US accounts and a five-year sourcing contract with a large French retailer are scaling up while losses from new verticals are being cut.

3c. Margin bridge

EBITDA margin is 3.5% vs 3.1% a year ago. Losses from start-up verticals halved and higher volume spread fixed costs, partly offset by earlier staff increments and higher US freight. Management targets a steady climb each year. (lasting)

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Oct 2024	Ted Baker to grow 10%+ and stay profitable	Retail partners went bust; still losing Rs 11 cr in H1 FY27	Missed
FY25	New vertical losses to taper from Q4 FY25	FY25 spend Rs 162-168 cr, above the Rs 150 cr guided	Missed
Jun 2025	Cut new vertical losses 25% in FY26	Roughly met	Delivered
FY26	Halve new vertical losses in FY27	Rs 34 cr in H1, on track	Delivered
May 2026	Mid-single-digit growth in FY27	H1 up 23%	Delivered

The story has evolved sensibly: invest in new verticals and the US, then cut the spending and harvest. Ted Baker is the sore spot and its promises kept missing. Guidance is cautious and lately beaten.

5. Bottom line

Durable earning trigger? YES

New US accounts and the French contract are concrete, and revenue and margins are already moving.

Management consistent? MAYBE

Recent targets are being met or beaten, but the Ted Baker and early new-vertical promises missed.

> **6. Checkpoints for next quarter**
>
> - Order book keeps growing in double digits
> - EBITDA margin stays above last year's level
> - Ted Baker losses keep shrinking toward breakeven

This is not investment advice. Do your own due diligence.